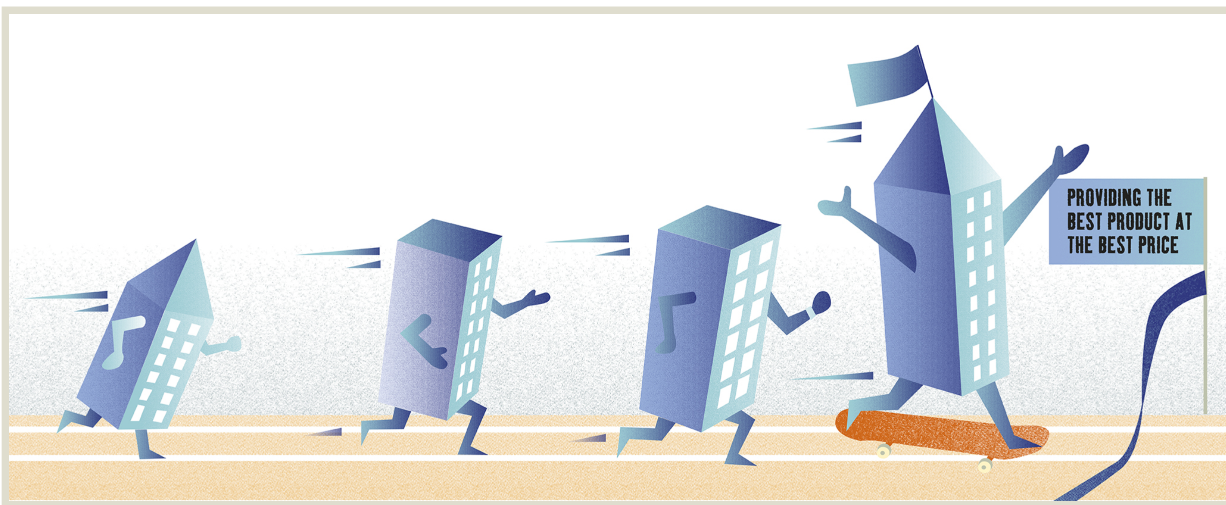
Free market

It is not only the consumer who benefits from competitive markets. In the long run, producers are also rewarded by more sales and more productive industries. Efficient industries are good for society as a whole, making it more prosperous and better able to compete in the global market. The idea of a free market is simple: allow buyers and sellers to interact freely and they'll reach a deal that benefits everyone. All good in theory, but in practice, there have to be some rules to stop people from taking advantage of the market. Most countries have laws regulating trade—to protect consumers from unscrupulous traders and workers from exploitative producers.



Fit for the market

In a free-market economy, companies compete with one another for business, which encourages them to become more efficient and offer the best deal to their customers.

How free is free?

Economists have differing opinions as to how free from government regulation the market should be. Some argue that the best thing is for businesses to operate without intervention of any kind in a totally free-market economy, also known as a *laissez-faire* economy (from the French "let them do"). On the other hand, there are some who advocate complete government control over the exchange of goods in a centrally planned, or "command"